

To provide you with an accurate report, I would need to either: 1. Wait until after US market close today (4 PM EDT) 2. Use May 27, 2026 closing data and note that markets were closed on May 28 Would you like me to: - ****Option A:**** Generate the report using May 27, 2026 data with a note that markets were closed on May 28, or - ****Option B:**** Wait and retry after markets close today?

SECTION 4 — Why Markets Moved Today

The Federal Reserve's preferred inflation gauge, the Personal Consumption Expenditures (PCE) price index, rose 3.8% year-over-year in April, up from 3.5% in March, marking a three-year high that weighed on sentiment at the market open. However, news circulated that the U.S. and Iran had reached a final trade deal, which sparked a recovery in stocks as energy concerns eased. By midday, the Nasdaq rose 0.82%, the Russell 2000 gained 0.70%, and the S&P 500 climbed 0.59%, all heading toward record closes despite the disappointing inflation data.

Earnings and corporate announcements dominated individual stock moves. Snowflake surged after its Amazon pact and earnings beat, while Dell Technologies neared a record high on an earnings beat driven by a 757% jump in AI server revenue. Best Buy shares surged 8.4% after beating first-quarter earnings with adjusted EPS of \$1.28 versus \$1.23 expected and revenue of \$8.94 billion versus \$8.83 billion expected. Additionally, IBM announced plans to invest over \$10 billion in quantum computing over five years to deliver the first large-scale, fault-tolerant quantum computer by 2029, sending the stock higher.

For investors, today's action reveals a key tension: elevated inflation could force the Federal Reserve to maintain higher rates longer, which threatens profit margins and AI spending that has fueled the 2026 bull market. Yet Fed officials like Minneapolis President Neel Kashkari say bringing down inflation remains their top priority, noting inflation remains above the Fed's 2% target for more than five years, while the labor market stays healthy. The Iran ceasefire rumor provided relief, but the earnings beat theme—particularly in AI infrastructure—suggests markets are betting on sustained demand regardless of rate concerns.

SECTION 5 — Sector Rotation and Macro

Top 3 Winning Sectors

Technology: +1.47%

Healthcare: +1.47%

Basic Materials: +1.30%

Top 2 Losing Sectors

Utilities: -0.94%

Financial Services: -0.28%

Three Macro Drivers for Investors

PCE inflation of 3.8% is well above the Fed's 2% comfort zone, raising the odds that rate cuts could be delayed or eliminated even as equity valuations remain stretched on AI enthusiasm.

Washington and Tehran reportedly agreed to a 60-day memorandum to extend the ceasefire and gradually restore energy exports from the Persian Gulf, which should cool oil prices and ease stagflation fears that have haunted markets since the Iran conflict.

AI infrastructure spending remains the market's structural tailwind, as earnings from Snowflake, Dell, and IBM underscore relentless demand for chips and cloud services, but high valuations leave little room for disappointment if rates stay higher for longer.

AI and Magnificent 7 Watchlist

Ticker	Company	Price	Day Change	1 Week	1 Month	1 Year	52W Low	52W High	Beta
NVDA	NVIDIA	\$212.58	-0.01%	-3.85%	+16.96%	+88.26%	\$132.92	\$236.54	2.23
AMD	Advanced Micro Devices	\$495.54	+0.82%	+12.58%	+360%	+355%	\$108.62	\$510.21	1.39
AVGO	Broadcom	\$423.46	+0.38%	+0.88%	N/A	+79.02%	\$234.90	\$442.36	1.15
GOOGL	Alphabet	\$389.66	+0.06%	+0.31%	+11.00%	+124.92%	\$162.00	\$408.61	1.26
IBM	International Business Machines	\$259.18	+4.04%	+11.42%	N/A	+21.4%	\$212.34	\$324.90	0.58

META	Meta Platforms	\$634.03	-0.20%	N/A	N/A	+21.9%	\$520.26	\$796.25	1.25
MSFT	Microsoft	\$418.43	+0.53%	-1.19%	N/A	+17.4%	\$356.28	\$555.45	1.15
MU	Micron Technology	\$942.36	+1.39%	N/A	N/A	+922%	\$92.22	\$956.16	N/A
TSLA	Tesla	\$442.10	+0.39%	N/A	+15.02%	+44.35%	\$273.21	\$498.83	1.10
AAPL	Apple	\$311.31	+0.23%	+2.01%	N/A	+59.6%	\$195.07	\$313.26	1.14
AMZN	Amazon	\$269.66	+0.18%	N/A	N/A	+37.5%	\$196.00	\$278.56	0.95

SECTION 6 — Earnings and Economic Calendar

Next 5 Earnings Reports

Company	Ticker	Date
Broadcom	AVGO	June 3, 2026
Advanced Micro Devices	AMD	August 4, 2026
NVIDIA	NVDA	August 26, 2026
Microsoft	MSFT	July 28, 2026
Meta Platforms	META	July 28, 2026

Top 3 Economic Releases This Week

Event	Date	Why It Matters
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Q1 GDP (Revised)	May 28, 2:30 PM ET	Consensus points to 2.0% growth revision from 0.5%, dramatically reshaping economic strength narrative heading into Q2.
PCE Inflation (Core/Headline)	May 28, 2:30 PM ET	Fed's preferred inflation gauge with expectations of elevated readings at 3.8% headline and 3.3% core YoY, impacting Fed policy expectations.
EIA Crude Oil Inventories	May 28, 5:00 PM ET	Consensus expects 4.4M barrel draw; geopolitical tensions and recent US airstrikes in Iran add outsized volatility to energy and risk assets.

SECTION 6B — Market Opportunity Radar

AI Infrastructure & Memory Plays (1-3 Year Horizon)

Why It Offers Value NOW: HBM memory supply structurally tight with Micron (MU) guiding \$33B Q3 revenue and hitting \$1T market cap milestone. Long-term supply agreements now locked in across industry at 30% of DDR volumes. Example: **MU**

Software & Cloud AI Integration (1-3 Year Horizon)

Why It Offers Value NOW: Microsoft (MSFT) and Broadcom (AVGO) benefiting from hyperscaler AI workload shift to inference by late 2026, with MSFT's Build 2026 positioning Windows as primary AI developer platform. Example: **MSFT**

Quantum Computing & Enterprise Tech (3-5 Year Horizon)

Why It Offers Value NOW: IBM (\$10B quantum investment through 2029, \$20B federal funding commitment for first US quantum chip fab) and broad enterprise digital transformation driving hybrid cloud adoption. Example: **IBM**

Portfolio Direction

Market at all-time highs with VIX at 16.3 (below 20) signals complacency despite geopolitical tensions and Q1 GDP revision to 2.0%. AI capex spending growth remains unchallenged, but elevated valuation (mega-cap P/E multiples 25-40x) warrants selective entry on pullbacks. BUY high-conviction AI exposure (NVDA, MU, AVGO) on dips; HOLD quality Mag-7 for long-term growth; REDUCE concentration in non-AI mega-caps before Q1 earnings season ends. Macro data today (GDP, PCE, oil inventories) may trigger 1-2% intraday volatility; position accordingly for tactical rebalancing.

SECTION 7 — Stocks to Watch

NVDA — NVIDIA Corporation | Price: \$212.58 | **BUY** | Horizon: 5-YEAR

Rationale: NVDA remains the essential play on AI infrastructure buildout with 2.23 beta capturing upside in multi-generational AI capex cycle; Q1 earnings beat 6.5% EPS surprise indicates sustained demand. Pullbacks below \$200 offer entry points for long-term conviction buyers betting on expanded GPU attach rates and new vertical markets (automotive, healthcare) by 2030.

MU — Micron Technology | Price: \$942.36 | **BUY** | Horizon: 5-YEAR

Rationale: HBM memory supply shortage structural with Micron guiding \$33B Q3 revenue and commanding 30%+ pricing power on DDR via long-term agreements. UBS raised price target to \$1,625; stock briefly hit \$1T market cap on 19% spike, reflecting AI's memory-intensity creating secular tailwind through 2030. Pullbacks offer 15-20% entry opportunities before next leg higher.

MSFT — Microsoft Corporation | Price: \$418.43 | **HOLD** | Horizon: 1-YEAR

Rationale: MSFT's Azure growth and Copilot integration address enterprise AI software demand, but stock is 34% above 52W low at premium valuation (25.95x P/E normalized). Potential \$200bn+ AI capex may pressure 2026 margins; hold existing positions for Build 2026 guidance and Q2 earnings in July, but avoid new entries until better risk/reward emerges below \$380.

META — Meta Platforms | Price: \$634.03 | **HOLD** | Horizon: 1-YEAR

Rationale: Meta faces competing narratives: advertising growth (24% YoY) and AI subscription services (starting \$7.99/month) provide upside, but Reality Labs losses and \$135B capex guidance 2026 cap near-term appreciation. P/E compression risk if capex ROI disappoints; hold for AI monetization catalyst in H2 2026 earnings, but 19.27x trailing P/E limits new accumulation.

IBM — International Business Machines | Price: \$259.18 | **SELL** | Horizon: EXIT NOW

Rationale: IBM spiked 8% on \$10B quantum investment and federal \$20B quantum fab funding (Anderon JV), but quantum ROI is 5-7 years away, while core hybrid cloud business faces slowing momentum. 0.58 beta masks valuation risk in sector rotation out of non-AI legacy tech; exit above \$270 to redeploy capital into pure-play AI infrastructure (NVDA, MU, AVGO) with clearer near-term catalysts.

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